3.5.1 The three measures of profit

Unit 3.5 Financial management · 6 key points

- **Gross profit:** revenue − cost of sales
- **Operating profit:** gross profit − operating expenses
- **Profit for the year:** operating profit − net finance costs − tax
- **Cost of sales:** direct costs of the goods sold
- **Operating expenses:** other running costs, e.g. rent, salaries, marketing
- **Trap:** operating expenses are not operating profit